
It's an Industry Almost Everyone Hates. Wall Street Loves It. It Could Demolish the Entire Economy.

Published by

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Estimated reading time

6 min

Added on

2026-05-18

Address

<https://slate.com/business/2026/05/ai-trump-musk-stock-bubble-ipo.html>

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If you already thought the stock market's booming reactions to this geopolitically chaotic economic moment were irrational—well, it's about to get much more surreal, because the rules governing the trade are about to change dramatically. You can thank Elon Musk and the Trump administration for that.

Right now, the indexes are seeing a reinvigorated boom—in spite of coming Strait of Hormuz supply shocks and other mounting [recession indicators](#)—because investors are looking to what may become the biggest IPOs in history, courtesy of artificial intelligence. OpenAI, Anthropic, and most importantly SpaceX (which now owns xAI) all hope to hit the charts this year with [trillion-dollar valuations](#), in an unprecedented global first. It may seem like a great opportunity to get more transparency from these notoriously private firms, but the opposite is likely to happen. The incoming IPO wave is rewriting stock market rules in real time so that companies can attract massive public investment with fewer safeguards, less transparency, and more risk pushed onto ordinary investors, as well as the funds that will determine how comfortably you'll be able to retire.

SpaceX, which aims to debut in June and is estimating a public net worth of nearly \$2 *trillion*, will not be like any other ticker. Per the terms of the filing, shareholders' ability to challenge CEO Musk's decisions, whether through the board or the legal system, will be [so limited](#) as to make the chief executive all but invincible. Big banks have already been acquiescing to Musk's unusual demands, including [paying up front for Grok](#) subscriptions, thus juicing SpaceX's flagging A.I. revenue. (The megacorporation actually makes money from its satellite internet services and rocket contracts, but xAI, which includes X and Grok, is a [major drag](#) on the company's revenue.) Plus, the Nasdaq and the S&P 500 are making room for SpaceX by rewriting their rulebooks: Pre-IPO SpaceX investors will be able to [cash out right](#) when the stock goes public, and the index funds that hold *your* 401(k)s and pensions will be [forced to buy up SpaceX stock](#) in order to retain their market ties. This is entirely for Musk's sake; financial institutions are more psyched about the types of investments the megacelebrity CEO can attract, and committed to [guaranteeing a baseline level of trading volume](#) for this trillion-dollar treasure chest, than they are concerned about those who'll be most exposed to the stock's erratic nature. As New York and California pension managers put it in a [concerned letter](#) to SpaceX, the company will be “an unavoidable holding in our portfolios,” even though its unique arrangement scraps any “baseline protections” for stockholders.

If you have *any* financial exposure to an index fund that tracks the Nasdaq 100 and the S&P 500, you'd better hope SpaceX remains a rational and steady stock, because you'll have no influence whatsoever on the direction Musk takes the company.

Like Tesla, it's a trade that revolves around Elon Musk's whims and [distorts typical perceptions of the stock market](#) as a rational economic measure, all tolerated so long as some big investors can make bigger money. But a massive IPO alone does not make for a sustainable investment. “When a company goes public at such a high valuation, lots of things have to go right,” Jay Ritter, director of the University of Florida's IPO Initiative, told Reuters. “Most of the time, things don't go according to plan.”

One SpaceX adviser even [admitted to the Financial Times](#) that “from a strict corporate finance perspective, the valuation makes no sense. But Elon is great at getting people to dream.” To keep that dream aloft, financiers are now overhauling the entire way markets function in this country so that confidence in executives carries the day over actual economic sense. The *entire* stock market will soon become, for all intents and purposes, the meme-stock market, and your retirement accounts are at the mercy of its whims.

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Federal regulators are also granting more freedom to CEOs and herd-mentality traders. If the Securities and Exchange Commission has its way, publicly traded companies will soon be able to opt out of quarterly financial disclosures by publicizing insights into the state of the business only [twice a year](#). That means *everyone* in the public will know much less about how important, market-leading firms are doing, and why. The SEC is also repealing a [post-dot-com-bubble rule](#) that requires frequent stock traders to prepare significant cash reserves so as to prevent major losses. Now people with much less money on hand (and more potential losses at play) will get to buy and sell as much as they like, a prospect for which [meme-stock market manipulators](#) are *excited*. The sum: A lot more people are empowered to take a lot more risks on a lot less information.

That’s perfectly OK for Big Tech executives, who’d rather not have you look too closely at how much cash their A.I. ventures are burning. OpenAI’s own CFO is [reportedly warning](#) that the firm is not financially ready to go public, but CEO Sam Altman is doing everything he can to rush the process and lock in [more funds to splurge on computer chips](#). Anthropic has better revenue reports, but it’s also [burning up capital way faster than it’s making money](#).

“Although the U.S. stock market is at a record high, a large part of recent gains has been in a few sectors, specifically energy and AI-related companies,” Ritter wrote to me in an email. Typically, such concentration is not healthy for anyone participating in the markets.

The dot-com bubble burst provides a useful historical parallel, as the Vanderbilt Policy Accelerator pointed out in a [recent report](#): hundreds of thousands of jobs lost, a nationwide recession, and a massive hit to the health of retirement accounts. The A.I. economy is even bigger than that, with far

more investor and fund exposure in the works, and a worse-case crash could hit up to *\$20 trillion* in household wealth, per the Vanderbilt report. Even if you personally hold some reliable stocks, even if your index funds are usually trustworthy, even if you have voting shares in a major company, you're at the mercy of the A.I. companies, their investments, and their fans. If it turns out that some of those projections around data center construction, computing power, product adoption, and eventual profitability were mistaken, you have no recompense or means of influencing the direction of things toward a more sound outcome.

Despite all this massive risk, the big A.I. firms, led by SpaceX, are going into this stock market to overhaul all those normal rules of play, grant the CEOs more power and blind trust, give the public much less transparency, and throw the meme-stock traders a lot more meat. It's playing with fire, and the common people will not be unscathed.

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